

The idea of a secured € rate based on repo lending

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The ECB on 'risk-free-rates' and secured rates

- The ECB, with support from the Private sector working group on € risk-free rates, selected ESTER as the Euro risk-free rate.

This was *not* a foregone conclusion:

- The EU Benchmark Regulation mentions as a data source for benchmarks, alongside unsecured inter-bank rates, other money market instruments such as “*overnight index swaps, repurchase agreements*”. *
- While Japan and the UK have also opted for rates that reference unsecured lending, the US and Switzerland have opted for rates based on collateralised lending.
- The first public consultations identified both unsecured and secured rates as potential risk-free-rates: ESTER, GC Pooling Deferred and RepoFunds Rate. †

Sources:

(*) EU Regulation on indices used as benchmarks in financial instruments and financial contracts

<https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=CELEX:32016R1011&from=FR>

(†) First public consultation by the working group on euro risk-free rates on the assessment of candidate euro risk-free rates

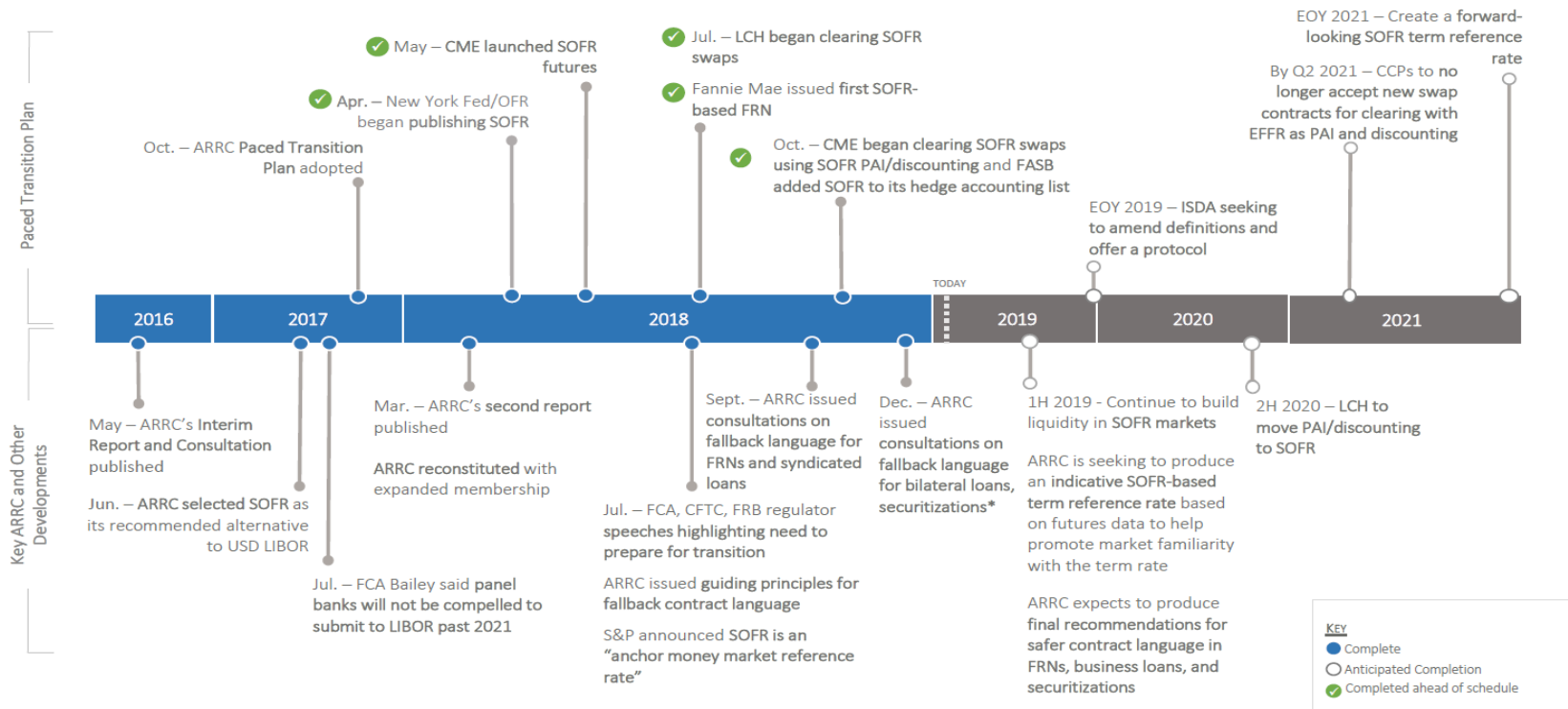
https://www.ecb.europa.eu/paym/pdf/cons/euro_risk-free_rates/consultation_details_201806.en.pdf

The US's choice of a secured rate

- The US opted for a Secured Overnight Financing Rate (SOFR), based on volume-weighted-average, outlier-trimmed, transaction-based repo rates.
- In explaining the choice of a secured rate, the Alternative Reference Rates Committee noted that *“banks’ borrowing in unsecured term money markets has declined noticeably...the secular decline in short-term unsecured wholesale funding has made the market underlying LIBOR both less liquid and much less resilient”*. *

Transition from U.S. Dollar LIBOR – Timeline

The Alternative Reference Rates Committee (ARRC) was originally convened in November 2014. Significant progress has been made to date.



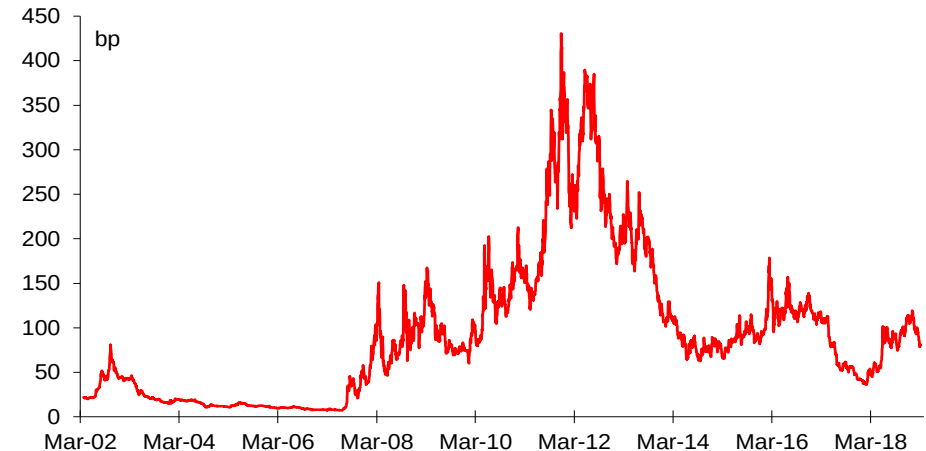
*ARRC expects to consult on fallback language for other cash products

As of 1/30/19

Is a secured rate more representative of post-crisis conditions?

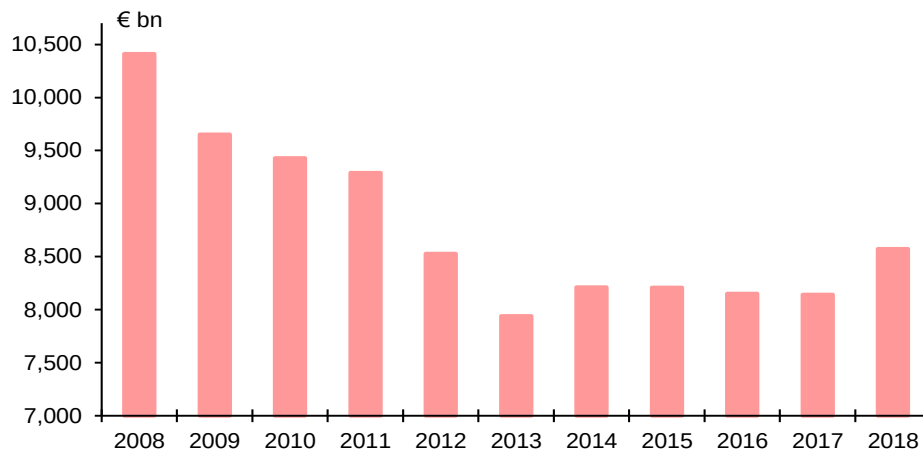
- Following the 2007-2009 global banking crisis and 2010-2012 sovereign debt crisis, despite large capital injections and re-regulation, the perception of Euro area bank credit has not fully recovered.
- Partly as a result of that, inter-bank lending has been reduced, partly replaced by central bank lending (and partly obviated by deleveraging).

Average 5y CDS of the largest Euro area banks



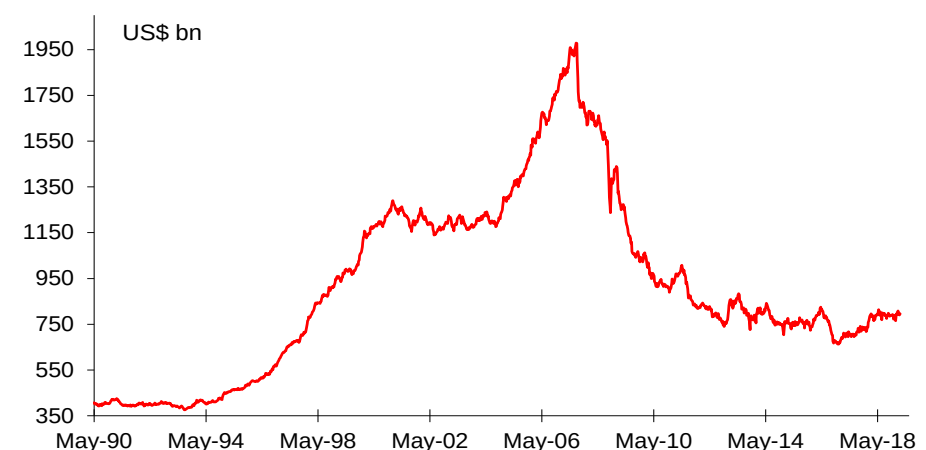
Source: Bloomberg, Santander

Euro are MFIs – short-term wholesale liabilities (non-ECB)



Source: ECB, Santander

Volume of financial commercial paper outstanding



Source: Federal Reserve, Santander

Is a secured rate more representative of post-crisis conditions?

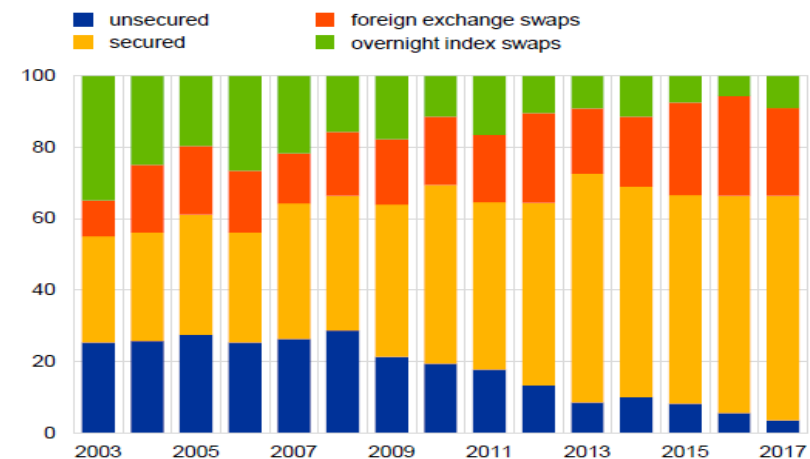
- The regulatory impact of Net Stable Funding Ratio, Leverage Ratio and Liquidity Coverage Ratio is to limit recycling of collateral and dependence on repo financing of long-term bond.
- Despite this, especially, away from reporting dates, volumes have held up well. One might argue that without such regulations, the volume might have continued to rise.
- Reflecting more limited inter-bank deposit supply or demand, secured lending represents most of money-market turnover in €, other than FX swaps.

Total Euro area repo outstanding



Source: ICMA, Santander

Money market turnover in the Euro area

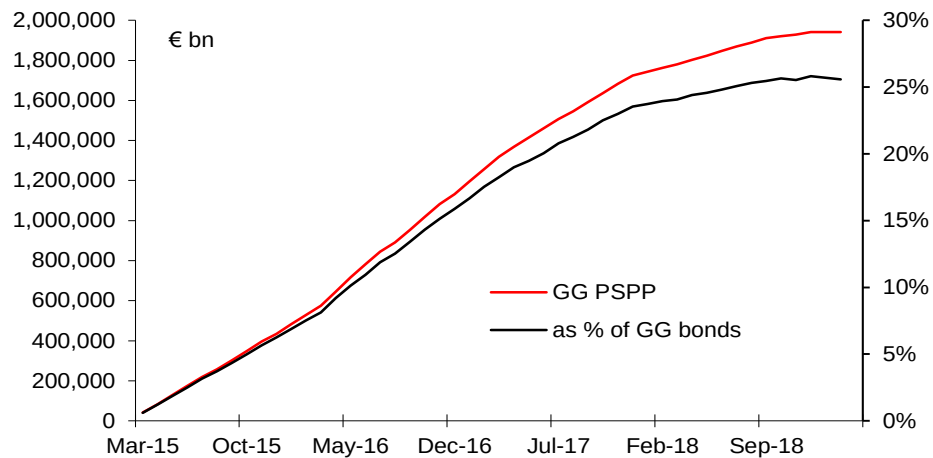


Source: ECB, Santander

Distortions to repo levels due to the ECB's quantitative easing

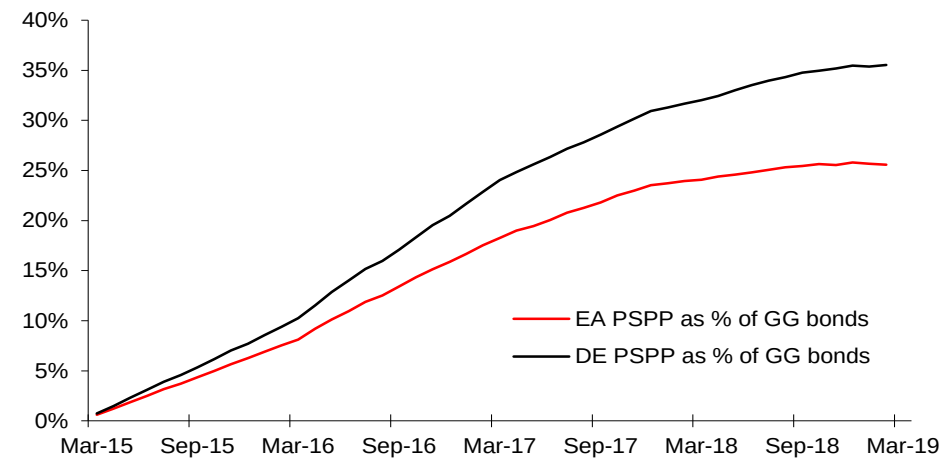
- The ECB's APP/PSPP has obviously reduced the amount of collateral in the hands of the private sector.
- This was particularly true for lower-debt, higher-rated sovereign issuers like Germany and the Netherlands.

PSPP outstanding holdings



Source: ECB, Eurostat, Santander

Proportion of Gen Govt debt held by PSPP: Germany and Euro area as a whole

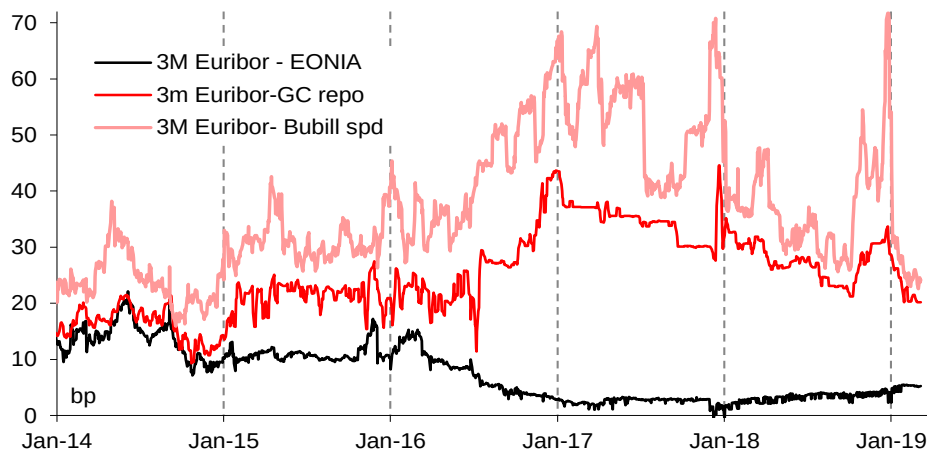


Source: ECB, Eurostat, Santander

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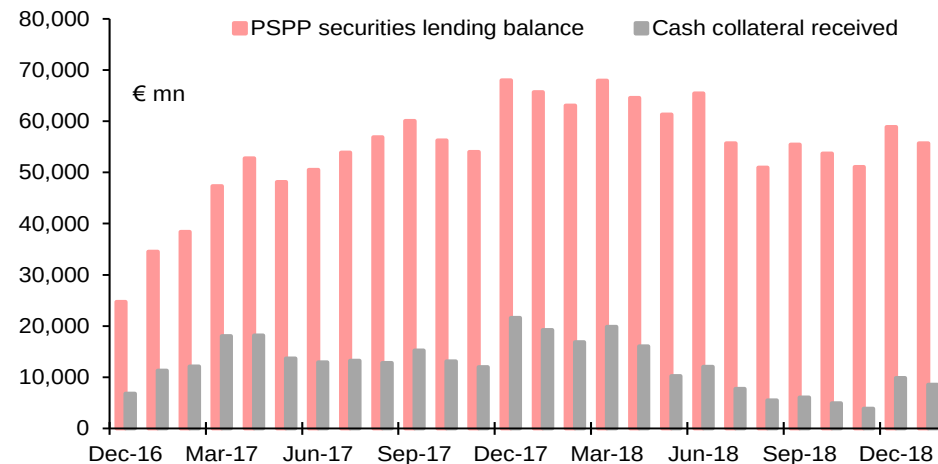
- At the end of 2016, PSPP holdings began to be lendable against cash.
- This has reduced unsecured-secured borrowing spreads but spikes still occur near year-end.
- PSPP securities lending seems to have stabilised around € 55-60 bn, less than 1% of the overall repo market in the Euro area.
- Lending against cash is less than 20% of the total.

Volume of financial commercial paper outstanding



Source: Bloomberg, Santander

Volume of financial commercial paper outstanding

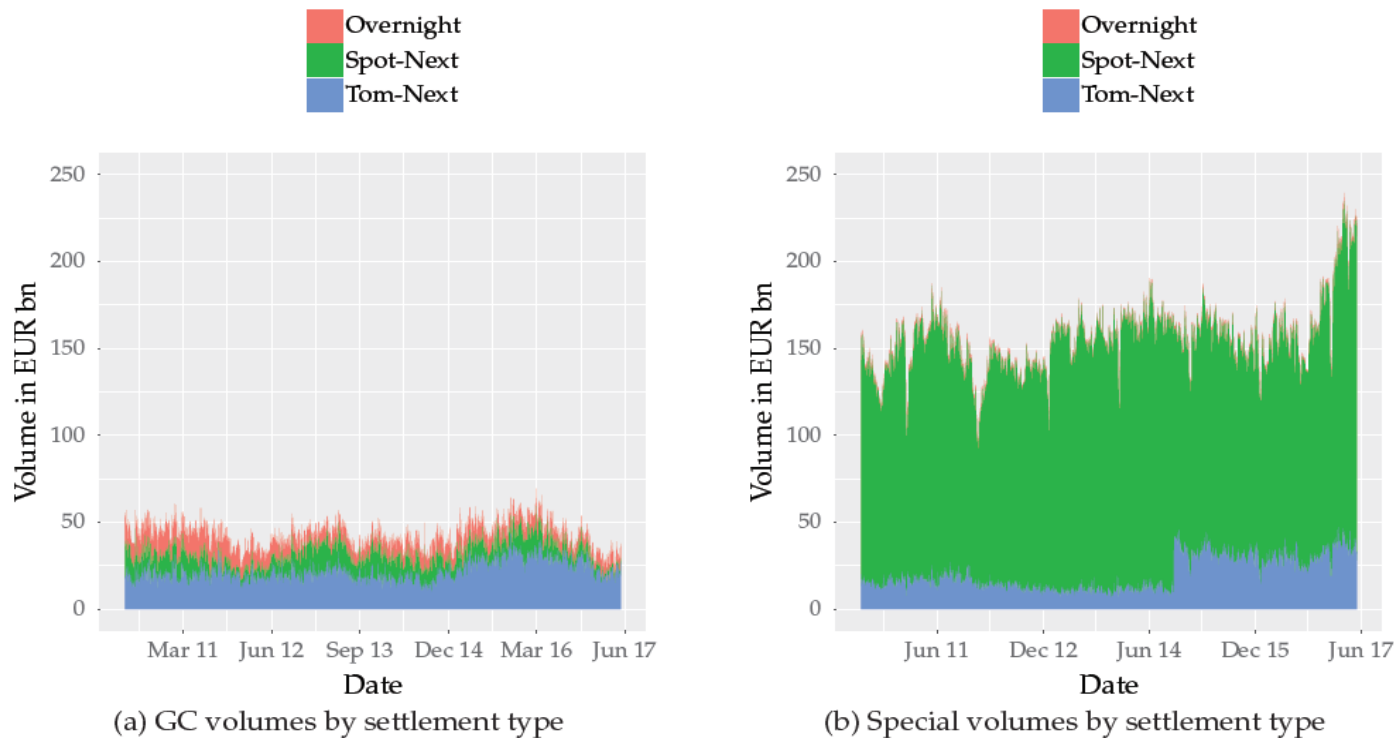


Source: ECB, Santander

Distortions due to the ECB's quantitative easing

- A significantly larger portion of bonds trade 'special'.
- Indeed so many trade special (or close to it) that entire categories (like Bunds) have a lower GC overall.

Daily turnover in one-day maturity repos for DE, ES, FR and IT



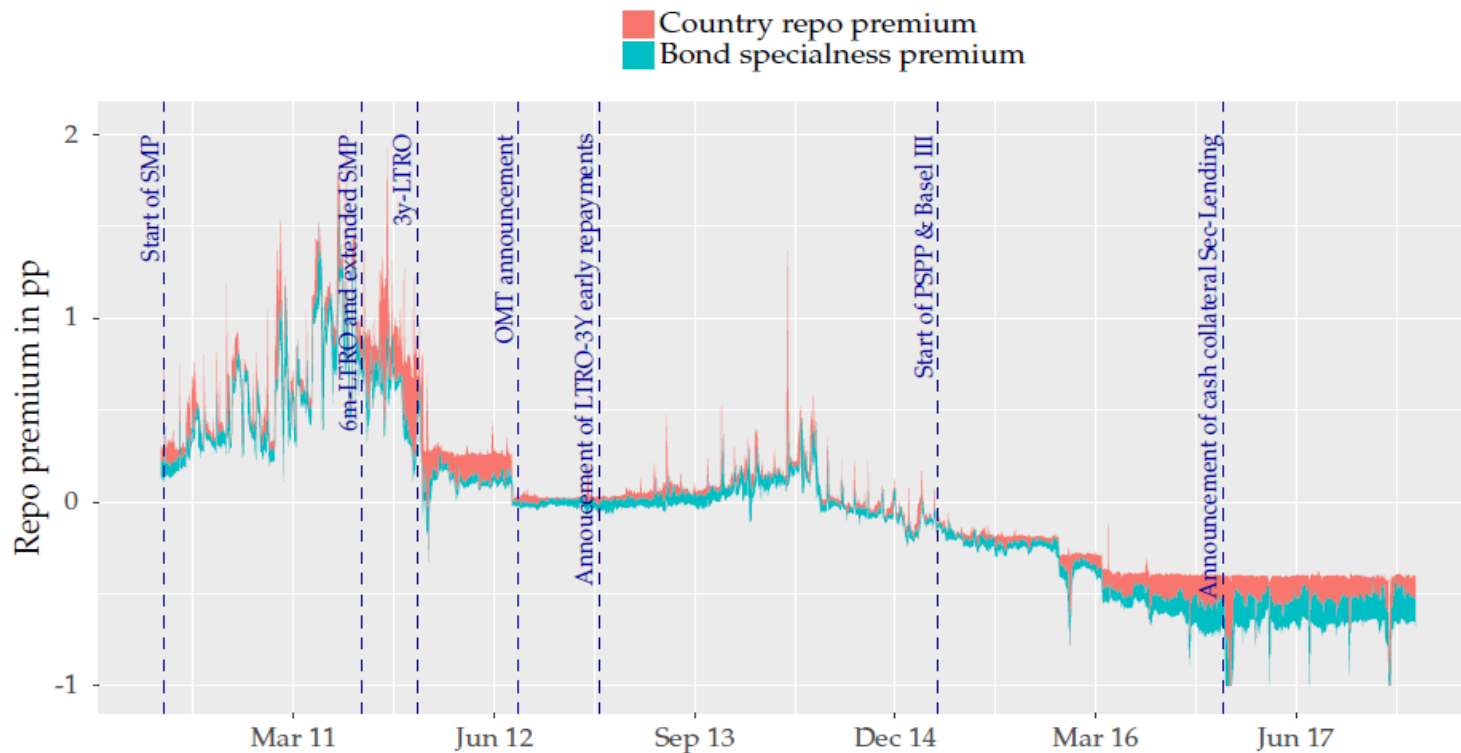
Source: BrokerTec, MTS, Eurex via ECB

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Distortions due to the ECB's quantitative easing

- Again, the substantial degree of specialness is particularly visible in Bunds.
- However, it does obtain in other collateral categories, too,

Repo premia developments in Germany



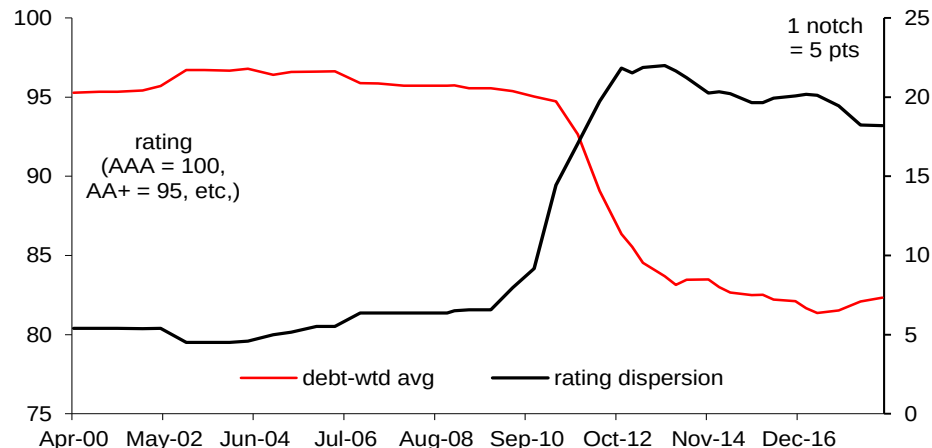
Source: BrokerTec, MTS via ECB

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Is the bond market underlying repo transactions too fragmented to represent a risk-free benchmark?

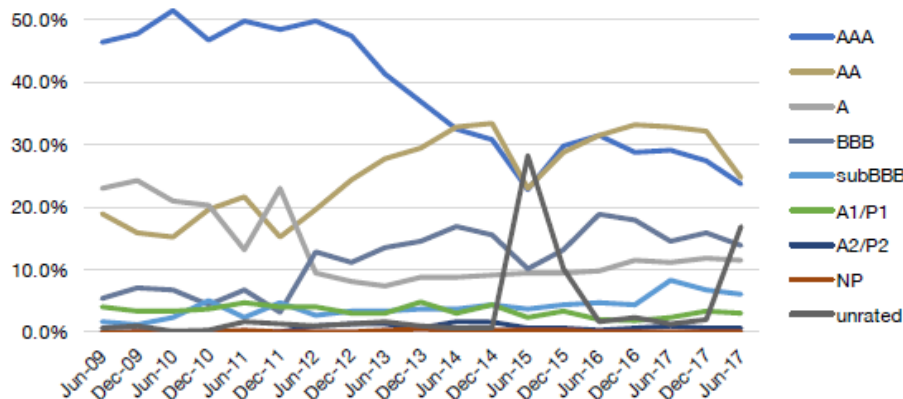
- The average credit rating of Euro area sovereign debt has fallen and become more dispersed since the mid-2000s.
- This is reflected in the drop in the average rating in repo transactions.
- Arguably, lower collateral quality makes development of term secured lending even harder than it would be in any case.

EMU top-6 issuers sovereign rating



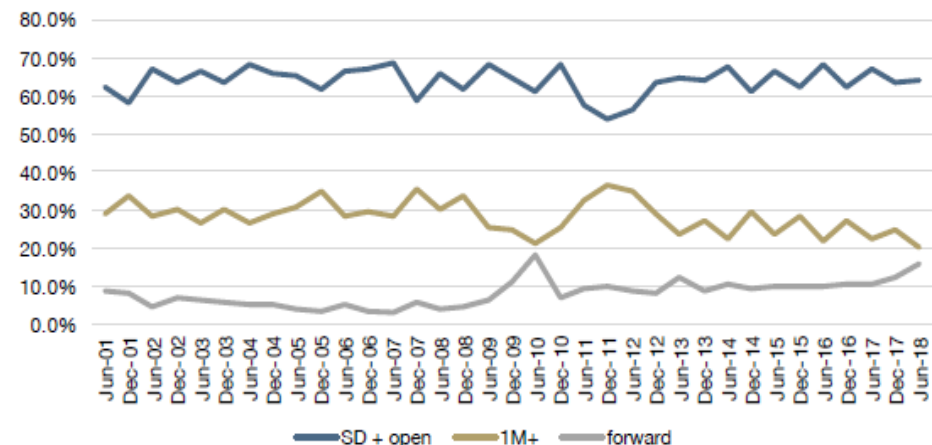
Source: Ratings agencies, Eurostat, Santander

Collateral tri-party agents) by credit rating



Source: ICMA, Santander

Repo maturity (spot-starting repos)



Source: ICMA, Santander

Conclusions

- The ECB would like to insulate real-economy floating-rate borrowing from bank credit risk.
- Unsecured rates, especially term rates, simply cannot ensure that.
- Secured rates clearly have an advantage on that front and also represent a much higher volume of transactions

HOWEVER

- Lending against €-denominated, liquid, low-risk collateral is somewhat distorted by the large QE programme holdings, despite securities lending.
- That collateral pool is also fragmented in terms of creditworthiness.
- The issue of reduced term rate trading is also present in collateralised money markets.
- The ECB has shown no strong interest in repo-based benchmarks.

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